

35 social value.⁸ Art's cultural value is multifaceted, but as is the financial valuation. Their relationship is complexly intertwined. It was argued that "valuing a work of art works on the most basic principles: supply and demand".⁹ This is a very contested claim. It would be too simplistic to state that it is just about supply and demand, yet it would be ignorant not to acknowledge these forces. Robertson explains that it depends on the sector of the market you are investigating. In his approach, there appears to be a spectrum where on one end, antiques gain value through a list of aesthetic standards, and on the other end, contemporary art gains value through the judgements of the art world.¹⁰ These judgements are indeed very difficult to predict. Preece et al. state that this is a reflection of the subjectivity of both art and value, resulting in the determination of a value becoming reliant on constructs, behaviours, and negotiations between actors.¹¹ Indeed, as Jyrämä adds, "art cannot exist without a human being stating, in a social context, this is art".¹² Throsby takes a middle-ground approach, whilst recognising that supply and demand plays a role. He states that the consumer in this market holds a collective taste which changes frequently with the times, thus taste influences demand. On the supply side, the producer (being the artist) is not seeking to maximise profit. He states that artists are of course influenced by their economic situations, but they frequently act in a way that goes against "conventional economic models".¹³ Therefore, they can be influenced to a certain degree by price when considering supply choices, but that is not their primary concern when producing. There is a wealth of debate about the nature of the value of art, be it financial or cultural, and how these two systems work together. The driving force behind a functioning economic system comes from the value that the economic agents ascribe to the goods and services that are being exchanged.¹⁴ Art is the primary good being produced and consumed on the art market, therefore one needs to understand how and in what way agents create value for art. Art is a heterogeneous entity, whereby each piece is entirely unique and different to the next. This unique nature of art means that traditional economic theories are unsuitable for art market analysis, as they do not consider the specific nature of the art market; they are built to analyse markets where goods are easily interchangeable.¹⁵

⁸ Throsby, "Economic and Cultural Value in the Work of Creative Artists", 28. ⁹ ArtTactic, *The 2018 Valuations & Appraisals Market Report*, (2018): 20. <https://arttactic.com/product/valuations-appraisals-market-report-2018/>: 20. ¹⁰ Robertson, *Understanding Art Markets*, 24. ¹¹ Chloe Preece, Finola Kerrigan and Darah O'Reilly, "Framing the work: the composition of value in the visual arts", *European Journal of Marketing* 50, no.7/8 (2016): 1378. <http://dx.doi.org.ezproxy.sothebysinstitute.com/10.1108/EJM-12-2014-0756> ¹² Annukka Jyrämä, "Contemporary Art Markets – Structure and Actors: A Study of Art Galleries in Finland, Sweden, France and Great Britain", *International Journal of Art Management* 4, no.2 (2002): 50. <http://www.jstor.com/stable/41064755> ¹³ Throsby, "Economic and Cultural Value in the Work of Creative Artists", 26. ¹⁴ Throsby, "Economic and Cultural Value in the Work of Creative Artists", 27. ¹⁵ Jyrämä, "Contemporary Art Markets – Structure and Actors", 50; Throsby, "Economic and Cultural Value in the Work of Creative Artists", 26.